WEEK 10 · LECTURE L1 · UNIT IV

The Gig and Platform Economy

Why work moves outside the firm, how India now regulates platform work, and what HR owes people it does not employ.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

1. Explain why work moves outside the firm, using Coase, Williamson, Atkinson and Lepak and Snell.
2. Describe India’s gig and platform economy and its legal frame: NITI Aayog, the Code on Social Security 2020 and the Rajasthan Act 2023.
3. Analyze precarity and tiered inequality among platform workers (Kalleberg), and the control test in Uber v Aslam.
4. State what HR owes people it does not employ.

ONE SOURCE

The same theories as the in class lecture and the course hub, without the simulation data used in class. Course outcomes: CLO 1 and CLO 5.

COMMIT BEFORE THEORY

Commit to an answer first

Why do firms increasingly buy delivery and similar work through platforms instead of hiring employees?

A

Because gig workers are always cheaper per hour

B

Because platforms lower the cost of coordinating work through the market, shifting the boundary of the firm

C

Because Indian law forbids hiring delivery staff

D

Because workers prefer gig work in every case

EXAM LENS

The answer is B (Coase, 1937).

THEORY IN DEPTH · COASE (1937); WILLIAMSON (1985)

Why firms exist, and why work leaves them

The core idea

Markets have costs: search, bargaining, enforcement. A firm organizes work inside when that is cheaper than buying it each time.

How it works

Platforms cut market costs sharply (the app finds the worker, sets the price, rates the work), so work can be bought by the task. Williamson adds that generic, easily measured tasks move out first; specific skills stay inside.

Limits and critique

Transaction costs are hard to measure, and power, not only cost, shapes the boundary of the firm.

IN PRACTICE

Delivery partners sit outside the employee file by design, so their protection depends on law and contract, not on HR policy.

EXAM LENS

Use Coase to explain why platform work exists, then show why efficiency alone cannot justify the risk shift.

ATKINSON (1984); LEPAK AND SNELL (1999)

The flexible firm, and matching employment modes

Core

Permanent, trained, protected staff: functional flexibility.

Periphery

Temporary, contracted and platform workers: numerical flexibility. Gig workers are the extreme periphery, outside the firm altogether.

Lepak and Snell

Match employment modes to the value and uniqueness of human capital: internal development, acquisition, contracting or alliance.

EXAM LENS

Critics argue Atkinson described managerial intention more than widespread reality. The risk is a two class workforce.

NITI AAYOG (2022)

India’s gig workforce

Scale

An estimated 77 lakh (7.7 million) gig workers in 2020 to 21, expected to reach 2.35 crore (23.5 million) by 2029 to 30.

Skill mix

About 47% of gig work medium skilled, 22% high and 31% low; the medium share is slowly falling.

Two kinds

Platform workers find work through apps or digital platforms; non platform gig workers work on casual or own account terms in conventional sectors.

EXAM LENS

Recommendations include a “Platform India” initiative, access to finance, platform led skilling and skill passports, social inclusion, and better counting of gig workers.

NITI Aayog policy brief, June 2022.

NITI AAYOG (2022)

RAISE: operationalizing social security for gig workers

R

Recognize the varied nature of platform work.

A

Allow innovative financing of social security.

I

Incorporate platform, worker and job creation interests in scheme design.

S

Support workers to subscribe, through awareness.

E

Ensure benefits are accessible.

EXAM LENS

A policy proposal, not law; implementation depends on central and state rules and on platforms, and unions criticized limited consultation. An employer can apply “ensure accessible benefits” directly, for example by assisting registration.

THE INDIAN LEGAL FRAME

National, state and platform layers

	Code on Social Security, 2020	Rajasthan Act, 2023
Status	National; in force from 21 November 2025	First state law of its kind
Coverage	Defines gig workers, platform workers and aggregators; registration (Section 113)	Registration of workers (with a unique ID) and aggregators
Funding	Schemes; aggregators may contribute 1 to 2% of annual turnover, capped at 5% of payouts (Section 114)	Welfare board and fund, financed by a fee on transactions
Voice	Through scheme design	A grievance route
Employment status	Not made employees	Not made employees

EXAM LENS

India protects platform workers through social security schemes, not by making them employees. Strong answers compare the national and state models on coverage, funding, registration and voice.

UBER BV V ASLAM [2021] UKSC 5

A different route abroad: control decides status

United Kingdom

Status follows the reality of control: control over pay, terms, acceptance and ratings made drivers “workers” with minimum wage and holiday pay.

India

Status unchanged: not employees. Social security through schemes and funds; aggregators contribute.

EXAM LENS

The more an algorithm controls the work, the harder it is to say the worker is independent. A contract label does not settle status.

THEORY IN DEPTH · KALLEBERG (2009)

Precarious work is a choice of design

The core idea

Precarious work is uncertain, unstable and insecure, with risks shifted from employer to worker.

How it works

Driven by global competition, weaker unions and technology that eases outsourcing.

Limits and critique

Precarity varies by country, skill level and welfare system.

IN PRACTICE

Lower incentive tiers typically earn least (allocation sends them fewer orders), have the lowest scheme enrollment, raise more grievances and leave most: precarious by design. Measure gaps in percentage points.

EXAM LENS

Frame precarity as a design outcome; this moves an answer from description to critique.

WHAT HR OWES PEOPLE IT DOES NOT EMPLOY

From the teaching note, and duties

Defining features of gig work

Short task based engagements via platforms; payment by task; algorithmic management; minimal benefits; autonomy within platform limits.

HR implications

Fast onboarding and skill verification; ratings replace reviews; dynamic and surge pay; classification disputes and social security.

Duties

Ratings transparency; notice and reasons before deactivation; a grievance route that reaches a person; social security registration and contributions; data protection.

COURSE FRAMING

If work is no longer tied to a place, time or permanent contract, what is HR’s organizing principle? Fairness, security and voice are the critical issues.

APPLY

A retailer’s delivery partners

Teaching case (Course framing)

A Kolkata grocery chain moves home delivery from 400 employed riders to 1,200 platform partners. The app sets routes, rates partners and cuts orders for those below a 4.5 rating. Fewer than a quarter are enrolled in any social security scheme. The CFO says, “They are not our people, so not HR’s problem.”

Work it through

1. Why did the chain make this move, in Coase’s terms?
2. What does the Code on Social Security require of aggregators?
3. How much control does the app exercise, judged by Uber v Aslam?
4. Answer the CFO: what does HR still owe these workers?

COMMON CONFUSIONS

Tempting readings, and better ones

A tempting reading	A better reading
Gig workers are outside every law	The Code on Social Security, 2020 covers them through schemes and aggregator contributions
Platform work is always cheaper	Only where market coordination costs less than organizing inside
A contract label settles worker status	Courts can look at the reality of control
RAISE is law	It is a NITI Aayog policy proposal

COMPARE AND EVALUATE

Six lenses on platform work

Lens	Explains	Watch out for
Coase; Williamson	Why work leaves the firm	Power shapes boundaries too
Atkinson; Lepak and Snell	Core, periphery and employment modes	Intention more than reality
Kalleberg (2009)	Precarity as risk shift	Varies by welfare system
NITI Aayog (2022)	Scale and policy options	Estimates and proposals
Code on Social Security; Rajasthan Act	The Indian legal frame	Implementation still developing
Uber v Aslam (2021)	The control test	UK law, not Indian

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse

An Indian online retailer plans to replace 2,000 employed delivery staff with platform partners. Using Coase, Atkinson's flexible firm, the Code on Social Security, 2020 and Uber v Aslam, evaluate the plan and state HR's responsibilities. **20 marks**

A strong answer: explains the move with transaction costs and core and periphery; states what the Code requires and when it came into force; uses the control test; sets out HR's duties on data, ratings, grievance and social security, with a limit.

Compare the Code on Social Security 2020 and the Rajasthan Act 2023 as approaches to protecting platform workers. **20 marks**

A strong answer: compares coverage, funding (turnover levy against transaction fee), registration and voice; evaluates strengths and gaps.

What is NITI Aayog's RAISE approach? **10 marks**

A strong answer: names the five prongs and notes its status as a proposal.

CARRY THESE INTO THE EXAMINATION

Four things to remember

1. **Work leaves the firm when the market is cheaper to coordinate.**
   Protection then depends on law, not HR policy.

2. **India’s frame has national, state and platform layers.**
   Schemes, not employment status.

3. **Precarity is designed.**
   Lower tiers earn least, are least protected, and leave most.

4. **Control drives status abroad.**
   The more the algorithm controls, the weaker “independent” becomes.

SET READINGS · FROM THE LESSON PLAN

Read for this week

- NITI Aayog (2022). India’s booming gig and platform economy.
- Gratton, L. (2021). How to do hybrid right. *HBR, 99*(3).
- Susskind, D. (2020). *A world without work*, selected chapter.
- Scully-Russ, E., & Torraco, R. J. (2020), whole article.

NOTE

The other works named in this lecture are theory sources for reference, not set readings.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture

- Atkinson, J. (1984). Manpower strategies for flexible organisations. *Personnel Management, 16*(8), 28 to 31.
- Coase, R. H. (1937). The nature of the firm. *Economica, 4*(16), 386 to 405. https://doi.org/10.1111/j.1468-0335.1937.tb00002.x
- Government of India. (2020). *The Code on Social Security, 2020* (in force from 21 November 2025).
- Government of Rajasthan. (2023). *The Rajasthan Platform Based Gig Workers (Registration and Welfare) Act, 2023*.
- Kalleberg, A. L. (2009). Precarious work, insecure workers. *American Sociological Review, 74*(1), 1 to 22. https://doi.org/10.1177/000312240907400101
- Lepak, D. P., & Snell, S. A. (1999). The human resource architecture. *Academy of Management Review, 24*(1), 31 to 48. https://doi.org/10.2307/259035
- NITI Aayog. (2022). *India's booming gig and platform economy* (Policy brief). Government of India.
- Uber BV and others v Aslam and others [2021] UKSC 5.
- Williamson, O. E. (1985). *The economic institutions of capitalism*. Free Press.